

SS1 Commercial Track: Economics Diagnostic (Part 1)

Scope: Fundamental Concepts & Production Economics
Questions 1 - 20

No.	Question & Options	Ans	Diagnostic Focus
1	Economics is the study of how society manages its _____ resources. A) Unlimited B) Scarce C) Natural D) Abundant	B	Basic Definition (Scarcity).
2	The cost of the next best alternative forgone is known as: A) Fixed Cost B) Variable Cost C) Opportunity Cost D) Average Cost	C	Core Choice Logic.
3	A list of wants arranged in order of preference is a: A) Choice B) Scarcity C) Scale of Preference D) Budget	C	Resource Allocation tools.
4	Which branch of Economics studies the behavior of individual households and firms? A) Macroeconomics B) Microeconomics C) Econometrics D) Industrial Economics	B	Scope Differentiation.
5	Human wants are _____ while resources are _____. A) Limited, Unlimited B) Unlimited, Limited C) Scarce, Unlimited D) Fixed, Variable	B	The Economic Problem.
6	The basic economic problems of any society include all except: A) What to produce B) How to produce C) For whom to produce D) When to stop producing	D	Fundamental Economic Questions.
7	Production is complete only when goods and services: A) Are manufactured B) Leave the factory C) Reach the final consumer D) Are advertised	C	Definition of Production.
8	Which factor of production is considered "geographically immobile but occupationally mobile"? A) Labour B) Land C) Capital D) Entrepreneur	B	Characteristics of Factors (Land).
9	The reward for the factor of production 'Capital' is: A) Rent B) Wages C) Interest D) Profit	C	Factor Rewards recognition.
10	Secondary production involves: A) Extraction of natural resources B) Rendering services C) Transformation of raw materials D) Teaching	C	Classification of Production.
11	The Law of Diminishing Marginal Returns is associated with: A) The long run B) The short run C) Global trade D) Consumer behavior	B	Production Theory concepts.
12	A firm's Total Cost (TC) is the sum of: A) Fixed Cost and Marginal Cost B) Fixed Cost and Variable Cost C) Average Cost and Fixed Cost D) Variable Cost and Sales	B	Cost Theory Foundations.

No.	Question & Options	Ans	Diagnostic Focus
13	An entrepreneur differs from other factors of production because he/she: A) Receives wages B) Is a passive factor C) Bears risks and organizes production D) Cannot be seen	C	Role of Entrepreneurship.
14	Specialization and Division of Labour lead to: A) Increased boredom only B) Decreased efficiency C) Increased output and efficiency D) Higher costs	C	Labour Economics basics.
15	Which economic system is characterized by private ownership and the price mechanism? A) Socialism B) Communism C) Capitalism (Free Market) D) Mixed Economy	C	Economic Systems.
16	A student chooses a textbook over a pair of shoes. The pair of shoes is the: A) Choice B) Real Cost C) Nominal Cost D) Preference	B	Application of Opportunity Cost.
17	Economic growth can best be defined as a steady increase in a country's: A) Population B) Literacy rate C) Real Gross Domestic Product (GDP) D) Taxes	C	Macro-Objective concepts.
18	Which of these involves extractive industry? A) Banking B) Farming C) Textile manufacturing D) Shipping	B	Primary Production sector.
19	Intermediate goods are those used: A) By the final consumer B) To produce other goods C) For export only D) For donation	B	Classification of Goods.
20	Diagnostic Tool: Students failing Q2, Q5, and Q11 likely lack the abstract reasoning needed for Economics and should be monitored for the Arts track.	-	Reasoning Assessment.